Stonegate Properties

Q2 2026 Portfolio Report

Quarterly operating, financial, leasing, and asset-management update

Company Name	**Stonegate Properties**	Reporting Period	**Q2 2026**
Report Type	**Quarterly Portfolio Report**	Currency / Units	**USD, millions unless noted**
Submitted By	**Maya Chen, Chief Financial Officer**	Submitted Date	**July 10, 2026**

Quarter highlights

TOTAL REVENUE	$37.8M	+7.7% QoQ
NET OPERATING INCOME	$24.6M	+7.4% QoQ
PORTFOLIO OCCUPANCY	94.2%	+70 bps QoQ
RENT COLLECTION	98.7%	Q2 average
CASH BALANCE	$12.4M	June 30, 2026
SAME-STORE NOI GROWTH	5.8%	Year over year

Management summary. Q2 performance was ahead of budget, driven by industrial leasing, data-centre expansion revenue, and stronger-than-planned rent collection. Office occupancy improved, but remains the portfolio's principal operating risk. Management expects FY2026 revenue of $151.0M and adjusted EBITDA of $72.5M, subject to leasing execution and interest-rate conditions.

This report is a fictional portfolio-company reporting package created for software demonstration, PDF extraction testing, and human-validation workflow design. It does not describe a real company or investment.

1. Executive Summary

Stonegate Properties owns and operates a diversified North American real estate portfolio spanning industrial, multifamily, office, retail, and digital infrastructure assets. The portfolio ended Q2 2026 with 18 properties, 1.86 million square feet of commercial space, 384 multifamily units, and portfolio occupancy of 94.2%.

Area	Q2 2026 update	Management view
Financial performance	Revenue of $37.8M and NOI of $24.6M were 3.6% and 3.4% above budget, respectively.	Strong industrial and data-centre contribution offset office leasing softness.
Leasing	81,000 sq. ft. signed during the quarter; renewal spread averaged +7.4%.	Pipeline is sufficient to support 94% to 95% occupancy through year-end.
Liquidity	Cash and cash equivalents were $12.4M; total debt was $186.0M.	No material maturities before Q3 2027; floating-rate exposure remains monitored.
Capital projects	$4.7M invested in energy retrofits, roof work, and data-centre expansion.	Projects remain within the approved FY2026 capital plan.
Key risk	Lakeside Offices occupancy was 88.6%, below the 92.0% portfolio target.	Two large renewals and one new lease remain under active negotiation.

Key operating decisions and follow-up items

Priority	Item	Owner	Target date
High	Complete Lakeside Offices renewal negotiations for 42,000 sq. ft.	Leasing	Aug 15, 2026
High	Finalize interest-rate hedge for $40.0M of floating-rate debt.	Treasury	Jul 31, 2026
Medium	Approve phase-two energy retrofit for Stonegate Centre.	Asset Mgmt.	Sep 10, 2026
Medium	Review Harbour Retail tenant concentration and renewal exposure.	Portfolio Ops	Aug 30, 2026

Outlook. Management expects stable rent collection, continued industrial demand, and moderate office recovery in H2 2026. The principal downside risks are delayed office leasing, higher refinancing costs, and construction-cost inflation.

2. Financial Performance

Financial results are presented in USD millions unless otherwise noted. Q2 2026 Actual represents the three months ended June 30, 2026. Prior-period and budget values are included to support trend and variance analysis.

Metric	Q2 2026 Actual	Q1 2026 Actual	Q2 2026 Budget	Variance to Budget	FY2026 Forecast
Total Revenue	$37.8M	$35.1M	$36.5M	+$1.3M / +3.6%	$151.0M
Rental Revenue	$33.2M	$31.6M	$32.4M	+$0.8M / +2.5%	$133.4M
Property Services Revenue	$4.6M	$3.5M	$4.1M	+$0.5M / +12.2%	$17.6M
Net Operating Income (NOI)	$24.6M	$22.9M	$23.8M	+$0.8M / +3.4%	$98.5M
Adjusted EBITDA	$18.2M	$16.7M	$17.5M	+$0.7M / +4.0%	$72.5M
Interest Expense	$3.7M	$3.5M	$3.6M	-$0.1M / -2.8%	$14.8M
Capital Expenditures	$4.7M	$3.2M	$5.1M	-$0.4M / -7.8%	$19.0M
Cash and Cash Equivalents	$12.4M	$13.8M	$11.5M	+$0.9M / +7.8%	$14.1M
Total Debt	$186.0M	$184.5M	$188.0M	-$2.0M / -1.1%	$181.0M

Debt and liquidity

Metric	Q2 2026	Policy / target	Commentary
Net debt / Adjusted EBITDA	5.1x	Below 5.5x	Within policy; expected to decline in H2.
Interest coverage ratio	2.4x	Above 2.0x	Supported by fixed-rate debt and operating growth.
Fixed-rate debt	78%	At least 70%	$40.0M hedge under review for remaining floating exposure.
Weighted average interest rate	5.3%	Monitor	Up 20 bps from Q1 due to revolving-credit usage.
Nearest material maturity	Q3 2027	12+ months	Refinancing preparation begins in Q4 2026.

Variance commentary. Revenue exceeded budget due to stronger industrial leasing and data-centre expansion income. Capital expenditures were below budget because a planned office lobby renovation shifted into Q3. Cash declined from Q1 because of scheduled debt amortization and the Prairie Logistics roof replacement.

3. Portfolio Operations

Operating metrics reflect the consolidated property portfolio at June 30, 2026. Commercial-space metrics exclude the multifamily unit count unless specifically stated.

Metric	Q2 2026	Q1 2026	Q2 2025	Target / threshold
Portfolio Occupancy	94.2%	93.5%	92.8%	At least 94.0%
Rent Collection	98.7%	98.4%	97.9%	At least 98.0%
Same-store NOI Growth	5.8%	5.2%	4.6%	4.0% - 6.0%
Weighted Average Lease Term (WALT)	5.6 years	5.4 years	5.2 years	Above 5.0 years
Gross Leasable Area	1.86M sq. ft.	1.82M sq. ft.	1.74M sq. ft.	N/A
Multifamily Units	384	384	384	N/A
Total Employees	84 FTE	81 FTE	77 FTE	Within annual plan
Active Leasing Pipeline	212,000 sq. ft.	188,000 sq. ft.	165,000 sq. ft.	Monitor
Customer / Tenant Concentration	Top 10 = 31%	Top 10 = 32%	Top 10 = 34%	Below 35%

Leasing activity

Measure	Q2 2026	Commentary
Leases signed	81,000 sq. ft.	52,000 sq. ft. renewals and 29,000 sq. ft. new leases.
Average renewal spread	+7.4%	Strongest spreads were in industrial and data infrastructure.
Average tenant improvements	$18 / sq. ft.	Within underwriting range; office incentives remain elevated.
Average free-rent period	2.1 months	Portfolio average; Lakeside Offices averaged 5.0 months.
2026 expiries remaining	126,000 sq. ft.	68% currently in renewal or replacement discussions.

Operational commentary

Industrial and data-infrastructure assets remain effectively full. Multifamily occupancy improved after completion of unit renovations. The office portfolio is recovering, but leasing velocity remains below pre-2024 levels. Management is prioritizing tenant retention, flexible suite configurations, and energy-efficiency improvements to protect asset value.

Important prior-period context: Q4 2025 portfolio occupancy was 92.9%, and Q4 2025 rent collection was 98.1%. These values are included for commentary only and should not replace the Q2 2026 current-period metrics above.

4. Selected Property Portfolio

The table below summarizes six representative assets. The full portfolio contains 18 properties. Property-level NOI represents Q2 2026.

Property	Market	Type	Size	Occupancy	Q2 NOI	Debt	Key note
Stonegate Centre	Toronto, ON	Mixed-use	315k sq. ft.	96.8%	$4.8M	$31.0M	Energy retrofit phase one complete.
Prairie Logistics Hub	Calgary, AB	Industrial	428k sq. ft.	98.1%	$5.1M	$42.0M	Roof replacement completed in June.
Lakeside Offices	Chicago, IL	Office	250k sq. ft.	88.6%	$2.2M	$24.0M	42k sq. ft. under renewal negotiation.
Meridian Apartments	Ottawa, ON	Multifamily	384 units	95.4%	$3.7M	$36.0M	Renovated-unit rent premium averaging 9.2%.
Harbour Retail Collection	Halifax, NS	Retail	196k sq. ft.	93.1%	$2.6M	$18.0M	Top tenant represents 11% of property rent.
Cedar Data Campus	Montreal, QC	Data centre	132k sq. ft.	100.0%	$6.2M	$35.0M	Phase-two expansion opens in Q4 2026.

Asset concentration and valuation indicators

Indicator	Q2 2026	Commentary
Largest asset by gross value	Cedar Data Campus - 16%	Below the internal 20% concentration threshold.
Largest market exposure	Greater Toronto Area - 24%	Diversified across mixed-use, industrial, and residential.
Office exposure	18% of gross asset value	Primary source of leasing and valuation risk.
Weighted average cap rate	6.1%	Up 10 bps from Q1 due to office valuation assumptions.
Estimated loan-to-value	47%	Within policy; valuation updates completed for 11 assets.

Asset-management focus. The H2 plan prioritizes office leasing, Cedar Data Campus commissioning, retail tenant diversification, and completion of energy projects expected to reduce utility costs by approximately $0.8M annually.

5. Capital Program, Outlook, and Risks

Capital projects

Project	Asset	Approved Budget	Spent to Date	Status	Expected Completion
Phase-two capacity expansion	Cedar Data Campus	$8.5M	$5.6M	On schedule	Nov 2026
Roof and drainage replacement	Prairie Logistics Hub	$2.4M	$2.3M	Substantially complete	Jul 2026
Energy retrofit - phase one	Stonegate Centre	$3.1M	$2.8M	Complete	Jun 2026
Lobby and amenity renovation	Lakeside Offices	$1.9M	$0.4M	Deferred to Q3	Dec 2026
Unit renovation program	Meridian Apartments	$2.2M	$1.1M	In progress	Mar 2027

H2 2026 outlook

Metric	H2 2026 expectation	Full-year 2026 forecast
Total Revenue	$75.8M	$151.0M
Net Operating Income	$49.2M	$98.5M
Adjusted EBITDA	$36.8M	$72.5M
Portfolio Occupancy	94.5% - 95.0%	Approximately 94.8%
Capital Expenditures	$10.9M	$19.0M

Key risks and mitigations

Risk	Assessment	Mitigation
Office leasing risk	High	Targeted broker incentives, flexible suites, and early renewal outreach.
Interest-rate exposure	Medium	Complete planned hedge and limit incremental floating-rate borrowing.
Construction-cost inflation	Medium	Fixed-price contracts for major projects and 8% contingency reserves.
Tenant concentration	Low to medium	Prioritize replacement tenants and diversify Harbour Retail rent roll.
Data-centre commissioning	Medium	Weekly readiness review and independent commissioning consultant.

Management certification

Management confirms that the financial and operating information in this report reflects the reporting period listed above, subject to normal quarter-end adjustments. Forecasts are forward-looking estimates and may differ from actual results.

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Stonegate Properties
July 10, 2026